MONEYRULES SERIES

UK Tax Basics

For Freelancers, Side-Hustlers and the Self-Employed

*When to register, what you can claim, key dates,
and how to avoid painful tax-year surprises.*

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DISCLAIMER: General educational content only, reflecting 2026 UK rules. Not personal tax advice. Always consult HMRC directly or a qualified accountant.

1. Introduction — Why Tax Matters Before You Think It Does

If you're earning anything outside PAYE — freelance gigs, Etsy sales, a YouTube channel, survey income, crypto, eBay reselling — you are potentially trading as a self-employed person in the eyes of HMRC. The threshold is lower than most people realise, and the penalties for ignoring it are harsh.

The good news: the UK tax system for small earners is actually relatively friendly. You get a tax-free trading allowance, generous expense deductions, and simple online filing. The bad news: HMRC is increasingly using data-matching (eBay, Airbnb, PayPal, Upwork all now report to HMRC) to find people who aren't declaring.

> Register on time → pay normal tax.
> Get caught unregistered → tax + penalties up to 100% of the tax owed.

2. The £1,000 Trading Allowance

Since 2017, every UK individual has a £1,000 "trading allowance" — tax-free income from self-employment each tax year (6 April to 5 April). You do not need to register for Self Assessment if your TOTAL self-employed gross income for the year is £1,000 or less.

Worked examples

Your side income this year	Action Required?
£600 from Fiverr gigs	NO — below £1,000
£950 from YouTube AdSense	NO — below £1,000 (just)
£1,100 from eBay reselling	YES — register
£500 Fiverr + £600 Etsy = £1,100 total	YES — it's the TOTAL that counts
£4,000 from Upwork as a full freelance gig	YES — register

Note: even if you are under £1,000, you can OPTIONALLY register (e.g. to build a State Pension record or claim losses). But you don't have to.

3. When Do I Need to Register for Self Assessment?

You must register with HMRC by 5 October after the end of the tax year in which you exceeded £1,000. Example: you earned £1,500 via freelancing between April 2025 and April 2026. Deadline to register: 5 October 2026. Deadline to file your first return: 31 January 2027.

How to Register

1. Go to gov.uk/register-for-self-assessment.
2. Fill out form CWF1 (self-employed).
3. You'll receive a 10-digit Unique Taxpayer Reference (UTR) by post — guard this, you need it to file.
4. Also get a Gateway ID & password for the HMRC online service.
5. Process takes ~2–4 weeks. Don't leave it to the last minute.

> Register EARLY. Waiting until late January
> is the #1 cause of missed-deadline penalties.

4. National Insurance Contributions Explained

As a self-employed person, you pay two types of NI in addition to Income Tax:

Type	2026 Rate	When It Applies
Class 2 NI	Voluntary	Abolished in 2024 for most. Voluntary if profits < £6,725 to protect State Pension record.
Class 4 NI	6% / 2%	6% on profits £12,570–£50,270. 2% on anything above £50,270.

NI is calculated on your PROFIT (income minus expenses), not on gross income. It's collected automatically as part of your Self Assessment — no separate filing.

> Under £6,725 profit? Consider paying voluntary Class 2 (£3.45/wk)
> to keep building State Pension credits.

5. Allowable Expenses You Can Claim

You pay tax on PROFIT, not on revenue. Every legitimate business expense you deduct directly reduces your tax bill. For a basic-rate taxpayer, every £1 of claimed expense saves 29p (20% tax + 6% Class 4 + roughly 3% overhead).

Expense Category	Examples
Home office	Flat rate £6/wk OR % of bills if >25hrs/month from home
Technology	Laptop, phone (business %), software subscriptions
Travel	Mileage @45p/mi for first 10k, train/bus fares
Professional	Accountant fees, business bank charges, courses
Marketing	Website hosting, domain, ads, business cards
Subscriptions	Trade magazines, membership fees, platform fees
Stationery	Printer paper, ink, postage

Golden rule: the expense must be "wholly and exclusively" for business. A laptop used 70% for work, 30% personal = claim 70%. A Netflix subscription you use "sometimes for research" = DON'T claim.

6. Record-Keeping: What HMRC Actually Wants

HMRC requires you to keep records for at least 5 years after the filing deadline. For simple freelancers, this can be a spreadsheet plus a folder of receipts. You do NOT need commercial accounting software unless your turnover exceeds £90,000 (VAT threshold) or you file under Making Tax Digital.

Minimum Records to Keep

- All sales invoices or self-billing records (what you charged, when, to whom).
- All purchase receipts or online order confirmations.
- Business bank/PayPal/Stripe statements.
- Mileage log for business car journeys.
- Home office hours log if using the actual-cost method.

> Open a SEPARATE bank account for your self-employment.
> It makes records trivial, and it's free at most UK banks.

7. Key Dates and Deadlines

Date	Event	Miss It → Penalty
6 April	New tax year starts	—
5 April next	Tax year ends	—
5 October	Deadline to register if first year of trading	£100 + %age
31 October	Paper return deadline (rarely used now)	£100
31 January	Online return deadline + final tax payment	£100 + daily £10
31 July	Payment on account (2nd instalment)	Interest on arrears

The 31 January deadline is the BIG one. Missing it by a day = instant £100 penalty, regardless of whether you owe anything. Miss it by 3 months and you accrue £10/day fines, capped at £900 plus percentages of tax owed.

8. Payments on Account — The January Surprise

This catches almost every new freelancer. If your tax bill in year 1 exceeds £1,000, HMRC asks you to pay TWO things on 31 January: the tax you owe PLUS half of next year's estimated tax.

Worked Example

Your 2025/26 tax return (filed by 31 Jan 2027) shows a tax bill of £3,000. On 31 January 2027 you owe:

- £3,000 — the actual tax for the year just ended.
- £1,500 — half of 2026/27 tax, estimated at the same £3,000.
- TOTAL DUE 31 JAN: £4,500.

Then on 31 July 2027 you owe the OTHER £1,500. In effect, you're paying 150% of a year's tax in January of year 2. This is the "January surprise" that sinks many freelancers' finances.

> From day 1 of freelancing, save 30% of every payment
> into a "tax pot" account. You'll thank yourself in January.

9. When to Hire an Accountant

For most side-hustlers earning £1,000–£30,000/year, DIY via HMRC's online Self Assessment is perfectly adequate. It's free, the form is straightforward, and the interface is surprisingly well-designed.

Hire an accountant if you:

- Earn over £50,000+ profit and want tax-efficient planning.
- Are considering forming a limited company.
- Have complex income (multiple sources, international clients, crypto, rental).
- Have £5,000+ of equipment or capital allowances.
- Are subject to an HMRC enquiry — get professional help immediately.
- Simply value your time at more than £30/hour (a simple return takes ~6 hours).

Typical fees in 2026: £200–£400 for a simple Self Assessment, £600–£1,200 annually for full ltd company accounts. In most cases the accountant saves you more than their fee by spotting allowances you'd miss.

10. Key Takeaways and Your Action Plan

- £1,000 trading allowance — below this, no registration needed.
- Register for Self Assessment by 5 October after you cross the threshold.
- Tax is on PROFIT not revenue — track every allowable expense.
- Separate bank account + spreadsheet = adequate records for most freelancers.
- 31 January is the deadline for everything. Missing it costs £100 minimum.
- Save 30% of every freelance payment into a tax pot.
- Payments on account = you may owe 150% in January of year 2. Plan for this.
- Hire an accountant once your income or complexity justifies £300+/year.

Your First Two Weeks

6. Day 1: Add up last 12 months of side income. Are you above £1,000?
7. Day 2–3: If yes, register for Self Assessment at gov.uk/register-for-self-assessment.
8. Day 4: Open a separate "business" current account (Starling or Monzo business are popular).
9. Day 5: Start a simple spreadsheet — Date / Description / Income / Expense / Category.
10. Day 6: Open a separate savings account labelled "TAX". Set up a 30% rule.
11. Day 7–14: Back-fill your records for the current tax year to date.

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Thank you for reading.

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